Strict Upgrades: Three Auditor-Quality Measures

Outcome	Exactly five years	Shorter tenure	Difference p / N
Panel A: Big 4 background			
	-0.074**	-0.038***	p=0.318
Any failure	(0.034)	(0.014)	N=46,088
	-0.025***	-0.018*	p=0.463
Restatement	(0.004)	(0.010)	N=46,088
	-0.068*	-0.026**	p=0.246
Violation	(0.035)	(0.011)	N=46,088
Panel B: No prior audit failure			
	-0.038**	-0.038***	p=0.987
Any failure	(0.018)	(0.011)	N=10,990
	-0.024**	-0.016**	p=0.568
Restatement	(0.012)	(0.007)	N=10,990
	-0.035**	-0.030***	p=0.791
Violation	(0.018)	(0.009)	N=10,990
Panel C: Low-failure AKM state			
	-0.061***	-0.061***	p=0.990
Any failure	(0.017)	(0.007)	N=27,559
	-0.045***	-0.036***	p=0.556
Restatement	(0.015)	(0.005)	N=27,559
	-0.036**	-0.035***	p=0.976
Violation	(0.017)	(0.006)	N=27,559

Notes: Coefficients are in probability units. Client and year FE; no audit-firm FE. Client-clustered SE are in parentheses. Stars test each coefficient against zero; the last-column p tests equality across rotation types. Samples vary across quality measures. *** p<0.01, ** p<0.05, * p<0.10.